

DEPARTMENT OF ACCOUNTING
ACCOUNTING THEORY AND PRACTICE ACC 311
HND I ACCOUNTING

Introduction to Accounting Theory

Theory is generalization which serves to organize otherwise meaningless masses of data, and thereby establish significant relationships in respect of such data. The construction of theory requires a process of reasoning about the problems implicit in the data under observation, as means of distinguishing the basic relationships. Therefore, a theory is a formal set of ideas that is intended to explain why something happens or exists. It comprises of the principles on which a particular subject is based.

Accounting theory can be referred to as logical reasoning in the form of a set of broad principles that: (1) provide a general frame of reference by which accounting practice can be evaluated and (2) guide the development of new practices and procedures. Accounting theory may also be used to explain existing practices to obtain a better understanding of them. But the most important goal of accounting theory should be to provide a coherent set of logical principles that form the general frame of reference for the evaluation and development of sound accounting principles. Similarly, it is viewed as the basic assumptions, definitions, principles and concepts – and how we derived them – that underline accounting rule making by a legislative body – and the reporting of accounting and financial information.

The Origins and Evolution of Accounting Theory

Accounting as we know, it is based on the system of recording known as double entry book keeping. Although accounting did exist before double entry came to be widely used, but no evidence exists that can serve to date the appearance of double entry except the written record by Luca Pacioli published in 1494.

Before 1908, the existing theory was the proprietorship theory. This theory stresses that the owner (proprietor) is the centre of accounting interest. This theory becomes the dominant view presented in most text published in the first four decades of the twentieth century. At about the same time as proprietorship theory was being formalized and accepted an alternative view emerged. This is known as the entity theory. In entity theory, the shareholder becomes just one group of capital providers so profit measurement should not be viewed as the determination of potential dividend for shareholders. Profit is what is available to management to distribute to owners and others parties such as through interest

payment and taxes. Therefore, management had a right to retain profit for the future development of the company because it accrued to the company not the owners.

Classification of Accounting Theory

Accounting theory can be classified as either normative or descriptive.

Normative theory: this attempt to prescribe what accountant should do and how it should be done. It is a theory which prescribes the behavior to be undertaken, or the rules to be followed in pursuit of specified objectives. This theory may be used to evaluate current practice or develop new procedure. Normative theory is also called prescriptive theory.

Descriptive theory: this is also called position theory. This attempt to describe what reality is like. It tries plains foreign practice or rationalizes or sensitizes the use of certain procedure. An inductive theory derived from factual and empirical observation, is a description theory. It may be used to fluid a common threat of logic on the existence of interrelationship among accepted accounting procedures in orders to guide some basic for accepting some procedures and rejecting others.

The Need for Accounting Theory

1. It is needed to provide a broad frame work for the accountant's selection of practice.
2. Theory is useful for analyzing the logical relationship in an accounting system and hence to establish the cause and effect of relationship in the system.
3. Theory has an important normative role in the evaluation of accounting practices
4. Theory can assist in making prediction of the likely outcome of action in a given set of circumstances.
5. Theory is required to synthesize the existing body of accounting principles into a consistent whole and to eliminate the super flows, inconsistent, and unsound ones.
6. Theory is a valuable aid in research to improve upon existing practices and to develop new practice to solve new problems thrown up by an ever changing business environment; for example, the problems created by inflation for profit measurement

Nature and Purpose of Accounting

Accounting may be defined as the process of collecting, recording, summarizing and communicating financial information. Accounting is nothing but a means of communicating the results of business operations to vary parties interested in or connected with the business, namely, the owner, creditors, investors, government, financial institutions and other agencies. Accounting is therefore rightly called the language of businesses. The purpose of

a language is to serve as a means of communication. Accounting is not only associated with business but also with everybody who is interested in keeping an account for the money received and money spent.

The American Institute of Certified Public Accountant (AICPA) defines Accounting as the art of recording, classifying and summarizing, in significant manner, and in terms of money, transactions and events which are, in part at least of a financial character, and interpreting the results thereof.

Accounting is an art as well as the science of recording, classifying and summarizing of business transactions which are of a financial character and are expressed in terms of money. It also includes interpretation aspect of the recorded information

Basic Principles of Accounting

- a. Measuring principles
- b. Revenue recognition
- c. Expenses recognition
- d. Full disclosure

➤ Measuring Principles

The most common used measurements are based on *historical* and *fair value*.

Historical cost: GAAP requires that companies should account for and report assets and liabilities on the basis of acquisition price. This is often referred to as the historical cost principle. Therefore, assets are measured at the amount of cash paid or at the fair value of the consideration given to acquire them. While liabilities are measured at the amount of proceed received in exchange for the obligation for example bank loan or bank overdraft or the amount of cash that will be paid to satisfy the liability

Fair value: this can be defined as the price received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is therefore a market based measurement. Recently GAAP has increasingly called for the use of fair value principle.

➤ Revenue Recognition

A crucial question for many companies is when to recognize revenue. Revenue recognition generally occur when realized or realizable and earned. Realized revenue is revenue that the company has received while realizable revenue on the

other hand is revenue that the company hasn't received yet but expects to receive in the future. Companies may receive realized revenue at the time of service or sale. Revenue is considered earned usually when goods are transferred or services rendered, no matter when cash is received.

➤ **Expenses Recognition**

Expenses are defined as outflows or other "using up" of assets or incurring of liabilities (or a combination of both) during a period as a result of delivering or producing goods and / or rendering services. A company recognizes expenses not when they pay wages or make a product but when the work or (services) or product actually contribute to revenue, thus companies tie expenses recognition to revenue recognition, that is by matching efforts (expenses) with accomplishment (revenue). Companies charge some costs to current period as expenses or (losses) simply because they cannot determine a connection with revenue e.g. Officer's salaries and administrative expenses

➤ **Full Disclosure Principles**

In deciding what information to report, company follows the general practice of providing information that is sufficient importance to influence the judgment and decisions of an informed user often referred to as the full disclosure principles. If certain information is importance to an investor or lender using financial statement, such information should be disclosed within the statement or notes to the financial statement. It is because of this principle that numerous pages of footnotes are often attached to the financial statement. The financial statement is the statement of financial position, income statement and statement of owners' equity. If the main body of a financial statement gives an incomplete picture of the performance and position of the company, the notes to the account should provide the additional information needed.

Example of notes includes description of the accounting policies and method used in measuring the elements reported in the statement, explanations uncertainties and statistical details too voluminous for inclusion in the statements. The notes can be essential to understanding the company's performance and position.

Users of Financial Information and their Information Needs

The users of financial information are:

- 1 Individual financial institutions or group of investors needs accounting information to determine the liquidity, profitability's and viability of the enterprises.
- 2 Managers in an enterprise need accounting information to measure performance plan and control operations.
- 3 Customers and employers of an enterprises needed accounting information in order to access the abilities of the enterprises to produce goods or to render service on a continuous basis.
- 4 Government and regulatory body i.e. CBN, SEC, FIRS, SIRS need accounting information in order to be able to impose and collect taxes, to regulate certain business and plan, execute and evaluate government project.
- 5 Quasi-government establishment needs accounting information in order to meet their statutory obligation.
- 6 Competitors need it in order to assist them in formulating policies to counter competition.
- 7 Creditors need it to access companies' liquidity and abilities to meet their obligation as at when due.

Role of Core Aspect of Accounting in the Management of an Organization.

1. Financial Accounting

- a. **In a business**, the financial accounting function is responsible for periodically reporting financial information to business owners. Interested parties such as regulators, customers, investors and creditors often require this financial information. Financial accounting dictates the amounts you owe to suppliers, what customers owe you, operating costs, payroll costs and available cash. One can use financial accounting to analyze significant aspects of it business, such as monthly sales or reasons for high expenses.

- b. **System of control**: Financial accounting forms basic set off financial controls for business. This requires that one needs to have adequate knowledge and understanding of financial accounting principles and conventions in order to assign responsibilities, record financial information and divide duties among employees. Financial accounting, therefore, enables one to monitor such duties and their results more closely. Sound financial records demonstrate financial controls and oversight that reduces the risk of fraud and theft.

c. **Company analysis:** financial accounting can produce financial information that help in interpreting business performance easily. As a business owner, you can use financial accounting to develop ratio analyses and use those ratios to perform more detailed analysis of various aspects of your business. Financial accounting helps to formulate future course of action or strategy and measure the success of this strategy with financial information produced from another period.

2. Cost and Management Accounting

Managerial accounting helps manager to make good decisions. Managerial accounting provides information about the cost of goods and services, whether a product is profitable, whether to invest in a new business venture, and how to budget. It compares actual performance to planned performance and facilitates many other important decisions critical to the success of organizations.

3. Financial Management

Financial management ensures the financial health of an organization through investment activities and long term financial strategies. Financial management helps to monitor company's finances, it help financial managers to do data analysis and advice senior managers on ideas to maximize profits.

4. Taxation

Taxation helps to focuses more on adding value to various aspects of business, it include efficient tax planning, effective tax risk management, established strong tax control environments, proactively engaging tax authorities and tax professionals on issue which are not so clear and may have significant impact of business decisions.

Accounting Concepts, Convention Bases and Policies

Accounting concept and accounting convention is a set of rules and regulations or principles guiding the preparation of account and also deduce results to the conflict arising in the interpretation of account. Therefore, the concept and convention play a vital role in the accounting field of study. This is an indication that accountant cannot do without the concepts and conventions.

Accounting as a profession has principles (assumptions) which guide the preparation of financial statements. The preparation of financial report without these assumptions will be like a ship sailing without a captain which tells the importance these principles have to the profession. These assumptions should always serve as a guide for the accountant in the preparations of financial reports.

The following are accounting concepts that require attention:

Accrual concept: Financial statements are prepared under the Accruals Concept of accounting which requires that income and expense must be recognized in the accounting periods to which they relate rather than on cash basis. An exception to this general rule is the cash flow statement whose main purpose is to present the cash flow effects of transaction during an accounting period. Under Accruals basis of accounting, income must be recorded in the accounting period in which it is earned. Therefore, accrued income must be recognized in the accounting period in which it arises rather than in the subsequent period in which it will be received. Conversely, prepaid income must not be shown as income in the accounting period in which it is received but instead it must be presented as such in the subsequent accounting periods in which the services or obligations in respect of the prepaid income have been performed.

Expenses, on the other hand, must be recorded in the accounting period in which they are incurred. Therefore, accrued expense must be recognized in the accounting period in which it occurs rather than in the following period in which it will be paid. Conversely, prepaid expense must not be shown as expense in the accounting period in which it is paid but instead it must be presented as such in the subsequent accounting periods in which the services in respect of the prepaid expense have been performed. Accruals basis of accounting ensures that expenses are "matched" with the revenue earned in an accounting period. Accruals concept is therefore very similar to the matching principle.

Business entity concept: The entity concept is also known as the accounting entity concept. The idea here is that the financial transactions of one individual or a group of individuals must be kept from any unrelated financial transaction of those same individuals or group. The best example here relates to that of the sole trader or one man business. The business entity is therefore considered to be distinct from its owners for the purpose of accounting. Therefore, any personal expenses incurred by owners of a business will not appear in the income statement of the entity. Similarly, if any personal expenses of owners are paid out of assets of the entity, it would be considered to be drawings for the purpose of accounting much in the same way as cash drawings. Every economic unit, regardless of its legal form of existence, is treated as a separate entity (in accounting) from parties having proprietary or economic interest in it.

Matching concept: The aim of business is to earn a profit and in order to ascertain the profit, the cost (expenses) are matched to the revenue. The difference between the income from sales and cost of producing the goods will be the profit. When the business is taken as a going concern, then it becomes necessary to evaluate the performance periodically. The revenue and cost of the same period are matched. In other words, income made by the business during a period can be measured only when the revenue earned during a period is compared with the expenditure incurred for earning that revenue. The question when the payment was received or made is irrelevant.

Quantifiability /Money Measurement: This states that every item in the accounts should be measurable in monetary terms, viz in Naira and Kobo. That is, monetary values are placed upon each of the items. The simple reason for this is that money is acceptable both as a store of value and a medium of exchange. The unit of monetary measurement in Nigeria is Naira and Kobo.

Duality concept: This is the basic concept of accounting. The modern accounting system is based on the duality concept. The dual concept may be stated as “for every debit entry, there must be a corresponding credit entry”. Every transaction should have two side-effects to the extent of the same amount. The application of duality principle therefore ensures that all aspects of a transaction are accounted for in the financial statements.

Periodicity concept: In accounting, the intervals or accounting periods are normally one year, although for management purposes, reports (often called interim statements) are prepared at much shorter intervals. Although the results of a business unit cannot be with precision until its final liquidation, the business is divided into accounting periods (usually one year) and changes in position are measured over these periods

Realization concept: Realization concept helps the accountant to determine at what time he/she feels that the transaction is certain enough for the profit made on it to be calculated and then taken to the profit and loss account. Realization occurs when a sale is made to a customer. The basic rule is that revenue is created at the moment a sale is made and when the account is later settled by cheque or by cash. Thus, profit can be taken to the profit account and loss to the loss account. The sale is deemed to be made when the goods are delivered and thus, profit cannot be received nor filled yet. An exception to this rule would be a long term contract that involves payments on the account before completion of the work.

Historical cost: This concept is closely related to the going concern concept. According to this concept, an asset is ordinarily recorded in the books at the price with which it was acquired i.e. at its cost price. This cost serves as the basis for the accounting of this asset during the subsequent period. The ‘cost’ should not be confused with ‘value’. It must be remembered that as the real worth of the assets changes from time to time, it does not mean that the value of such an assets is wrongly recorded in the books. The book values of assets as recorded do not reflect their real value. They do not signify that they can be sold, though the assets are recorded in the books at the cost price. In course of time, they are reduced in value on account of depreciation charges. The idea that the transactions should be recorded at cost rather than at a subjective or arbitrary value is known as the cost concept. With time, the market value of fixed assets like land and buildings vary greatly from their cost. These changes in the value are generally ignored by the accountants and they continue to value them in the statement of financial position at historical cost. The principle of valuing the non-current assets at the cost value and not at the market value is the underlying principles in cost concept

Conventions of Accounting

The following important accounting conventions are also recognized:

- (i) Objectivity.
- (ii) Prudence.
- (iii) Materiality.
- (iv) Consistency.

Objectivity: Business operates in an environment of economic change and uncertainty. In the case of uncertainty, the accountant strives to choose data that is reliable and objective as much as possible. The term ‘objectivity’ relates to data that can be independently verified and is not influenced by the personal feeling or judgment of the accountant or any person within the firm.

Prudence: This convention states that where an accountant could deal with an item in more than one way in deciding between alternatives, that which is more prudent should have precedence. For example, stock valuation is at the lower of cost and net realizable value. If an asset appreciates in value, this gain should not be recorded until the asset is sold. However, a loss in value due to use or obsolescence should be recognized and incorporated in the financial statements. This principle demands exercising great care in the recognition

of profit whilst all known losses are adequately provided for. This is, however, not a justification for the creation of secret or hidden reserves.

Materiality: The essence of materiality is to assess the significance of an item in relation to the whole and according such item strict accounting treatment based on its size or monetary significance. For example, an item of revenue of N500,000 in the accounts of a company with turnover of N15 million can be considered material and hence requiring special attention while the same amount of N500,000 will not be considered material for a company with turnover of N800 million.

Consistency: The concept of consistency holds that when a company selects a method it should continue (unless conditions warrant a change) to use that method in subsequent periods so that a comparison of accounting figures over time may be meaningful. The concept ensures that the accounting treatment of similar items is consistent, taking one accounting period with another.

Fairness: This is an extension of the objectivity principle. In view of the fact that there are many users of accounting information, all having differing needs, the fairness principle requires that accounting reports should be prepared not to favour any group or segment of the society.

Objectivity: This principle connotes independence of judgment on the part of the accountant preparing the financial statements. Objectivity requires support by verifiable evidence in contrast to subjectivity or dependence on the unverifiable opinion of the accountant who prepares the financial statements.

Classifications, Measurement and Valuation of Assets

The IASC defines asset as the resources controlled by the entity; as a result of past events; and from which future economic benefits are expected to flow to the entity. From the definition, there are three basic features common; these are;

- i. an asset should be controlled by an entity;
- ii. it should be capable of probable future economic benefits and
- iii. it should have arisen from some past transaction or events

Classification of Asset

The asset of an entity should be classified broadly into non-current asset (formally called fixed asset) and current asset. Non – current assets are assets used in the business and are

not intended for resale. For an asset to qualify as a fixed asset, the item must be employed in the business with the intention that it should be used on a continuing basis.

The IASC through its expose draft classifies or defines a non-current asset as an asset that:

- (a) is held by an enterprise for use in the production or supply of goods and services, for rental to others, or for administration purpose and may include items held for the maintenance or repairs of such assets;
- (b) has been acquired or constructed with the intention of being used on a continuing basis; and
- (c) Is not intended for sale in the ordinary course of business.

Examples of non-current assets includes:

- (a) Property, plant and equipment e.g. (land & building, furniture & fittings, motor vehicles, etc.) tangible assets, i.e IAS 16
- (b) Investment property
- (c) Intangible assets (like patents, copy rights, trade marks, research and development, etc. (these forms of fixed assets represent legal rights and relationship beneficial to their owner).)
- (d) Long-term financial assets, such as long-term holdings of shares in other companies, with the exception of item (e) below
- (e) Investments accounted for using the equity method (investments in associates)
- (f) Biological assets

Current asset

IAS 1 states that an asset should be classified as a current asset if it satisfies **any** of the following criteria:

- The entity expects to realise the asset, or sell or consume it, in its normal operating cycle.
- The asset is held for trading purposes.
- The entity expects to realise the asset within 12 months after the reporting period.
- It is cash or a cash equivalent unless the asset is restricted from being used for at least 12 months after the reporting date.

Current assets include items such as:

- Inventories (stocks)
- Trade and other receivables (debtors)
- Prepayment or paid in advance
- Cash and cash equivalents

- The total of assets classified as held for sale in accordance with IFRS 5 **Liabilities**

A liability is defined as: a present obligation of an entity arising from past events, the settlement of which is expected to result in an outflow of resources that embody economic benefits.

Present obligation

A liability is an obligation that already exists. An obligation may be legally enforceable as a result of a binding contract or a statutory requirement, such as a legal obligation to pay a supplier for goods purchased. Obligations may also arise from normal business practice, or a desire to maintain good customer relations or the desire to act in a fair way.

Some liabilities can be measured only with a substantial amount of **estimation**. These may be called **provisions**. Examples of liabilities includes

- Trade and other payables (trade creditors)
- Provisions
- Financial liabilities, excluding any items in (a) and (b) above: (for example, bank loans)
- Liabilities (but possibly assets) for current tax, as required by *IAS 12: Income Taxes*
- Deferred tax liabilities (but possibly assets). These are always non-current
- Liabilities included in disposal groups in accordance with IFRS 5 **Equity**
- Non-controlling interests presented within equity
- Issued capital and reserves attributable to the **owners** of the entity. (The term 'owners', refers to the **equity holders**.)

Methods of Valuation of Assets

Valuation process is the process of attaching money measurement to accounting events and items. While measurement is the process of determining the monetary amount which the elements of the financial statements are to be recognized and carried in the statement of financial position and income statement.

There are numbers of different measurement bases employed to different degrees and varying combination in financial statements. They include the followings:

1. **Historical cost:** this is the process where assets are recorded at the amount of cash equivalent paid or the fair value of the consideration given to acquire them at the time of their acquisition. Historical cost valuation poses many difficulties under

price level changes. The HC method valuation seriously distorts the measurement of income when the value of money is changing. Example, a firm constructed a building at a cost of N500, 000. Ten years later, a similar building was constructed at a cost of N1million. In accordance with HC accounting, these two items were added together in the statement of financial position to show a total HC of N1, 500,000. The two buildings are not comparable in the sense that the second building is either twice as large as the first or more costly in real terms to build. Similarly, assuming that the building are in fact identical, an annual depreciation rate of 5 percent would provide depreciation at the rate of N25,000 for the first building and N50,000 for the second building. Therefore, it may be concluded that the entire arithmetic underlying the balance sheet representation of asset values would be incorrect under inflation, when asset values purchased at different times are added together in asset in total. The main advantage which is claimed for HCV is that it is visible. The stewardship approach to financial reporting theory is the major factor which supports this method of valuation.

2. **Present value:** this is the sum of the future expected net cash flows associated with the use of the asset, discounted to their present values. It is a concept which relates the values of an asset to the decision to hold it and derive its utility from using it in production of income. This method can be used for an individual asset, but most assets are used in combination to generate revenue.

3. **Current purchasing power (CPP):** this is basically an adjusted historical concept in which adjustments are made to recorded historical cost values for changes in the purchasing power of money by means of consumer price index. This method is concerned with general inflation, usually expressed as the average rise in the cost of living. For example, if inflation in the last year is 10%, then N100 last year has the same general (i.e. average) purchasing power as N110 this year. It is important to note that this methods does not attempt revalue the assets; it is money and not the asset which is revalued. CPP is aimed at re-expressing in terms of current naira, the figures as originally calculated under the original measurement basis whatever that was.

4. **Current Replacement Cost (CRC):-** this is defined as the estimated amount that would have to be paid in order to replace the asset at the date of the valuation. It

requires current market price data as a basis for preparing financial reports. The basic concept underlying this method is that the firm is a going concern, which is continuously replacing its assets. Replacement cost is often referred to as an entry value because it is the cost to the business of acquiring an asset.

5. Net Realizable Value (NRV): this may be defined as the estimated amount that would be received from the sale of the asset less the anticipated cost that would be incurred in its disposal. It is sometimes called exit value as it is the amount realizable when asset leaves the firm. One obvious problem with this method is that the amount which would be realized on the disposal of an asset depends on the circumstance in which it is sold.

6. Current Cost Accounting (CCA): this is a valuation concept which combines the concept of Current Replacement Value and Net Realizable Value in determining whether selling (exit) or buying (entry) prices should be used for the purpose of establishing the value of an asset to the business. Since value to the business could be either exist or entry values, therefore, one way of determining value to the business is to reverse the opportunity cost concept, and to define opportunity value as the least costly sacrifice avoided by owning the asset. This approach to the valuation of asset to the business has been adopted by a number of economists.

Accounting for property, plant and equipment are contained in IAS 16:

Definition: Property, plant and equipment

Property, plant and equipment are tangible items that:

- (a) are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and
- (b) are expected to be used during more than one period.

Non – current asset otherwise, known as property, plant equipment and in many enterprises, these assets are grouped into various categories such as land and building, plant and machinery; equipment, furniture, fixtures and fitting, vehicle etc. this statement consider accounting for property, plant and equipment under historical cost concept, which may be adjusted for revaluation.

The cost of an item of property, plant and equipment is measured initially at cost. The cost includes its purchase price including import and non-recurring levies and other cost which are directly attributable to bringing the asset to its location and working condition for its intended use. Trade discount rebates abnormal cost incurred subsequent to acquisition and administration and general overhead should be excluded.

Elements of cost

The definition of 'cost' for property, plant and equipment has close similarities with the cost of inventories, although property, plant and equipment will often include more items of 'other expense' within cost.

The cost of an item of property, plant and machinery consists of:

- its purchase price after any trade discount has been deducted, plus any import taxes or non-refundable sales tax; plus
- the directly attributable costs of bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. These directly attributable costs may include:
 - employee costs arising directly from the installation or construction of the asset;
 - the cost of site preparation;
 - delivery costs ('carriage inwards');
 - installation and assembly costs;
 - testing costs to assess whether the asset is functioning properly (net of sale proceeds of items produced during the testing phase).
 - Professional fees directly attributable to the purchase.
- When the entity has an obligation to dismantle and remove the asset at the end of its life, its initial cost should also include an estimate of the costs of dismantling and removing the asset and restoring the site where it is located.

Revaluation Policy

An enterprise may decide to revalue its non-current assets to reflect current value. When this is done, the entire class of assets that are selected for revaluation should be evaluated. The gain on revaluation should be credited to revaluation surplus account. A decrease in the book value should be applied to reduce any existing revaluation surplus before it is charged to the profit and loss account.

Depreciation and Disposal of Revalued Asset

- i. The depreciation of the asset should be based on the revalued amount over the remaining useful life of the asset.
- ii. The profit and loss on revalued asset is the difference between the sale proceeds and the carrying amount at the date of disposal. The balance in the revaluation surplus account is transferred to retained profit account.

Disposal

- i. Item of PPE should be eliminated from assets when it is disposed.
- ii. Gain or loss on disposal should be required in the profit and loss account
- iii. The gain or loss is the difference between the sales proceeds and the carrying amount of the asset at the date of disposal.

Disclosure

The following disclosures are required

- i. The bases for determining the carrying amount (book value) of PPE
- ii. When more than one basis has been used, the book value under each basis in each category of PPE
- iii. The methods used to compute the amounts of revalued PPE and the frequency of the revaluation.
- iv. Contingent capital gains tax and deferred income tax liabilities attributable to the revaluation surplus reported in the financial statements.

LEASES – IAS 17

IAS 17 prescribes the accounting treatment of leased assets in the financial statements of lessees and lessors.

Definition: Lease

Lease: An agreement whereby the lessor conveys to the lessee in return for a payment or series of payments of the right to use an asset for an agreed period of time.

A lease is a way of obtaining a use of an asset, such as a machine, without purchasing it outright. The company that owns the asset (the lessor) allows another party (the lessee) to use the asset for a specified period of time in return for a series of rental payments.

TYPES OF LEASES

IAS 17 identifies two types of lease. Leases are classified as either finance leases or operating leases.

A. Finance Lease:- This is one in which risks and rewards incidental to ownership are transferred to the lessee who is obliged to pay such costs as insurance, maintenance and similar charges on the property.

B. Operating Lease: This is one in which the lessor, while giving the lessee the use of the leased property, retain practically all the risks, obligations and rewards of ownership.

Differences between Operating Lease and Finance Lease

S/N	Operating Lease	Finance Lease
1	Ownership is not transferred at the end of the lease period	Ownership is transferred at the end of the lease period
2	No bargain purchase option in the contract	Bargain purchase option exist
3	The present value of the minimum lease does not equal the asset fair value	The present value of the minimum lease payment substantially equal to the asset fair value
4	The asset can be leased out again after the expiration of the initial leased period	The asset cannot be leased out again after the expiration of the initial leased period
5	The lessor maintained and is responsible for the upkeep of the asset	The lessee maintained and upkeeps the asset
6	Lease rentals are expensed	Lease rental is used to reduce lease obligation while some portion is expensed as finance cost
7	No value of asset is recognized in the books of the lease, and no depreciation nor impairment of the asset is charged	Value of asset is recognized in the books of the lessee as an asset, and depreciation and impairment of the asset are charged

Types of lessors

Companies might be lessors as a result of a variety of business models.

Finance companies (often banks and their subsidiaries)

Finance companies provide finance for the purchase of assets. In addition they might finance the use of assets through leases.

Illustration:

A manufacturing company might need a new major asset.

The manufacturing company would approach the finance company who, would buy the asset and then lease it out to the manufacturing company.

Finance companies are often associated with finance leases but they also fund large operating leases.

Hire companies: These companies own a stock of capital assets which they will lease out for varying periods. Hire companies are usually involved in operating leases. They include:

- tool hire companies;
- plant hire companies; and
- car hire companies

Manufacturer/dealer lessors

Some companies make or buy assets to sell. They may offer to lease the asset out as an alternative to outright sale. Many motor vehicle manufacturers and dealers do this. Such leases would usually be finance leases (but not necessarily).

Property companies

Many companies own properties which they lease out to others. These companies might apply *IAS 40: Investment Properties* to these assets.

Disclosures in the Financial Statement of the Lessee

The amount and the major classes of assets being leased at the financial position date. Liabilities related to these leased assets

- i. Should be separately disclosed from other liabilities and at the same time differentiating between current and long-term portions of the liabilities.
- ii. Commitments for minimum lease payments with a term in excess of one year stating the amount and the yearly future payments due.
- iii. Any significant financing restrictions, renewals or purchase options, contingent rentals and other contingencies from the leases.

Disclosures in the Financial Statement of the Lessor

- i. The gross investment in leases classified as finance leases. The related deferred income and the un-guaranteed residual values of the leased assets should be disclosed in the balance sheet date.
- ii. The net investment in a lease should be analyzed into current and no—current portions.
- iii. For assets under operating lease, the amount of assets under each category and the accumulated depreciation at the balance sheet date.

ACCOUNTING FOR INVESTMENTS – IAS 40 formerly SAS 13

IAS 40: Investment Property defines and sets out the rules on accounting for investment properties. An investment property as a property held to earn rentals or for capital appreciation or both without any activities in the form of production, trade or production of services.

Definition

An investment property is property (land or a building, part of a building or both) held to earn rentals or for capital appreciation or both.

Investment property differs from other property, which is:

- ❖ used in the production or supply of goods, or for administrative purposes, or
- ❖ held for sale in the ordinary course of business.

Investment property includes the building whilst it is under construction for eventual use as an investment property. The property could be held by:

- ✓ the owner, or
- ✓ the lessee under a finance lease or an operating lease.

The following are **not** investment property:

- * property intended for sale in the ordinary course of business
- * property being constructed or developed on behalf of third parties
- * owner-occupied property
- * property being leased to another entity under a finance lease

Accounting treatment of investment property

The recognition criteria for investment property are the same as for property, plant and equipment under IAS 16. An investment property should be recognized as an asset only when:

- it is probable that future economic benefits associated with the property will flow to the entity, and
- the cost of the property can be measured reliably.

Measurement at recognition

Investment property should be measured initially at cost plus the transaction costs incurred to acquire the property.

Measurement after recognition

After initial recognition an entity may choose as its accounting policy:

- ⇒ the fair value model, or
- ⇒ the cost model.

The chosen policy must be applied to all the investment property of the entity.

Once a policy has been chosen it cannot be changed unless the change will result in a more appropriate presentation. IAS 40 states that a change from the fair value model to the cost model is unlikely to result in a more appropriate presentation.

Fair value model for investment property: Under the **fair value model** the entity should:

- ▶ revalue all its investment property to 'fair value' (open market value) at the end of each financial year, and

- ▶ Recognize any resulting gain or loss in profit or loss for the period.

The property would not be depreciated.

Cost model for investment property

The **cost model** follows the provisions of IAS 16. The property is valued at cost and the non-land element is depreciated.

Example: Accounting for investment property

On 1 January Year 1 Entity P purchased a building for its investment potential.

The building cost ₦1 million with transaction costs of ₦10,000. The depreciable amount of the building component of the property at this date was ₦300,000.

The property has a useful life of 50 years.

At the end of Year 1 the property's fair value had risen to ₦1.3 million.

The amounts which would be included in the financial statements of Entity P at 31 December Year 1, under the cost model are as follows:

The amounts which would be included in the financial statements of Entity P at 31 December Year 1, under the fair value model are as follows:

Cost model

The property will be included in the statement of financial position as follows:

Cost (1,000,000 + 10,000)	₦ 1,010,000
Accumulated depreciation (300,000 ÷ 50 years)	<u>(6,000)</u>
Carrying amount	<u>1,004,000</u>

The statement of profit or loss will include depreciation of ₦6,000.

The amounts which would be included in the financial statements of Entity P at 31 December Year 1, under the fair value model are as follows:

Fair value model

The property will be included in the statement of financial position at its fair value of ₦1,300,000.

The statement of profit or loss will include a gain of ₦290,000 (₦1,300,000 – ₦1,010,000) in respect of the fair value adjustment.

INVENTORY IAS 2 (FORMERLY SAS 4)

Definition: Inventories are:

- ▶ Assets held for sale. For a retailer, these are items that the business sells – its stock-in trade. For a manufacturer, assets held for sale are usually referred to as ‘finished goods’
- ▶ Assets in the process of production for sale (‘work-in-progress’ for a manufacturer)
- ▶ Assets in the form of materials or supplies to be used in the production process (‘raw materials’ in the case of a manufacturer).

IAS 2: Inventories sets out the requirements to be followed when accounting for inventory.

Recording inventory: There are two main methods of recording inventory so as to allow the calculation of cost of sales.

- Periodic inventory system (period end system)
- Perpetual inventory system

Periodic inventory system (period end system) – summary

Opening inventory in the trial balance (a debit balance) and purchases (a debit balance) are both transferred to cost of sales.

Perpetual inventory method

This is a system where inventory records are continuously updated so that inventory values are always available. A single account is used to record all inventory movements. The

account is used to record purchases in the period and inventory is brought down on the account at each year-end. The account is also used to record all issues out of inventory.

Disclosure requirements for inventory

IAS 2 requires the following disclosures in notes to the financial statements.

- a) The accounting policy adopted for measuring inventories, including the cost measurement method used.
- b) The total carrying amount of inventories, classified appropriately. (For a manufacturer, appropriate classifications will be raw materials, work-in progress and finished goods.)
- c) The amount of inventories carried at net realisable value or NRV.
- d) The amount of inventories written down in value, and so recognized as an expense during the period.
- e) Details of any circumstances that have led to the write-down of inventories to NRV.
- f) The amount of any reversal of any write-down that is recognized as a reduction in the amount of inventories recognized as expense in the period.
- g) The circumstances or events that led to the reversal of a write-down of inventories

Measurement of Inventories

IAS 2 requires that inventory must be measured in the financial statements at the lower of:

- a. cost, or
- b. Net realisable value (NRV).

Cost of inventories

IAS 2 states that 'the cost of inventories shall comprise all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

The **purchase cost** of inventory will consist of the following:

- the purchase price
- plus import duties and other non-recoverable taxes (but excluding recoverable sales tax)
- Plus transport, handling and other costs directly attributable to the purchase (carriage inwards), if these costs are additional to the purchase price.

The purchase price **excludes** any settlement discounts, and is the cost after deduction of trade discount.

Net realisable value: is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Net realisable value is the amount that can be obtained from selling the inventory in the normal course of business, less any further costs that will be incurred in getting it ready for sale or disposal.

Valuation Method

The standard recommends five stock valuation methods. These are:

- i. First-In – First-Out (FIFO) method
- ii. Average stock method
- iii. Specific identification
- iv. Standard cost; and
- v. Adjusted selling price methods

However, the standard does not recommend the use of the following:

- i. Latest Purchasing price;
- ii. Last-in-First-Out (LIFO); and
- iii. The Base stock method.

Valuation of Inventory

Inventory should be valued at the lower of cost and net realizable value. This prevents unearned profits from being recognized while at the same time providing for possible future losses. Hence, the following cost must be excluded from the valuation of inventory, abnormal wastage, storage costs, administration costs and selling costs.

Valuable of Arable Stock

Arable stocks are commercially grown farm produce the value of such stocks would include the cost of tillage, planting and nurturing plants to harvesting stage. The accounting standards application to them is as follows;

- The value of such stocks would include the cost of tillage planting and nurturing to harvesting stage.

- The valuation of arable stock should be based on cost where adequate record keeping and appropriate cost accounting system exist. However, where there is no adequate record keeping, net realizable value should be used.
- Reasonable provisions for deterioration or normal spoilage should be made for perishable farm products.
- Arable stock has three distinct operational stages namely; tillage, in-ground and harvested crops, where practicable, costs should be accumulated separately for each stage.

Valuation of Plantation

Plantation products are Cocoa, coffee, kola, oil palm, plantation, rubber, tea and tobacco cultivated on a large scale. The major problem with the determination of the value of plantation production is that plantation does not usually start to produce until after a long gestation period. Thus, all costs associated with land preparation, planting and pruning and development are accumulated to maturity and amortized over the estimated production life of the plantation.

Plantation products are usually done in batches in which case costs of batches are accumulated separately so as to match their revenue with cost when harvested and sold. The cost of plantation output for each year is the proportion of the cost of accumulated quantities harvested plus the cost of extracting and transporting them to the point of sale.

The average cost method is applied to assign value to the quantities harvested and those un-harvested. This method is used because plantation products are homogenous. Stocks of plantation products that yield products within one year (e.g. sugar cane and banana) are valued like arable products.

Valuation of Livestock

Livestock refers to farm animals such as poultry, sheep cattle etc, which are especially raised for commercial purposes. The two problems associated with valuation of livestock are:

- i. How to determine their actual number and existence, especially animals that graze.
- ii. How to identify their various stages of development.

These problems are solved by the use of experts. Animals may be segregated according to their age, breed, sex and productivity and cost are accumulated

separately for each category. Proper accumulation and recording of the costs incurred will help determine the profitability of different categories of stocks.

~~One~~ One or more of the following methods are used to valuing livestock; cost method, net realizable value; and appraisal value.

~~The~~ The store in livestock enterprises usually include feed stock, drugs and small implement and other essential materials. They are valued at cost after physical counts.

ACCOUNTING CONCEPT OF INCOME AND PROFIT

There are four approaches to accounting for income. Here we are going to look at income measurement and explain the four approaches.

A simple definition of income measurement is the calculation of profit or loss. For an Accountant, income is what is left over after subtracting all of an organization's expenses. We have different ways of measuring income

Approaches for measuring Income

In order to measure income, four main methods or approaches can be used:

- The transaction or operation approach
- Activities approach
- Balance sheet (Statement of Financial Position) approach
- Value added approach

Transaction, or operation approach

This is the more conventional and most commonly used by accountant and most of the business enterprises adopt this method. With this approach, accounting is done during the course of operations. This means that profit (or loss) from a given service line or product is books right away. When the reporting period ends, say the end of a quarter, you had already booked the cost basis for assets and liabilities when they were incurred. There is no need to try to go back and figure out values in the past, they are already logged.

The activities approach

This is an assessment of an organization's activities instead of the transactions. In this way, it differs from the operations approach. Income is documented when certain activities or events takes place, not as a result of specific transactions.

In the activities approach, the following activities trigger the recording of income

- Planning
- Purchasing
- Production
- Sales

This approach is similar to the transaction approach, the activities approach is a little broader in scope, looking at an activity or event versus individual transactions.

The Balance sheet Approach

This approach is also known as capital maintenance approach. Increase in asset is the result of the income. As a result measurement of income requires the measurement of net increase in assets (of a specific accounting period). We can assess net worth by the data in the balance sheet. If closing asset exceed opening assets, there is a profit and, in the opposite case, there is a loss. That is, in other words, each item of income is supported by earnings of additional assets and the total assets so earned minus the portions left for expenses gives the measure of the net profit or income.

Thus the measure of net income or profit is the excess of the amount of net assets (assets minus liabilities) or net worth at the end of the period over that at the beginning of the period

Value Added Approach

Under this approach, the income is measured with the help of the value added by the firm during a particular period and the same is determined by the differences between the value of the product/output over the cost of raw materials including store and necessary components which are purchased from outside and are used in this production process of the concern. In this respect, it must be remembered that the prices so paid for the purchase of materials, stores etc. are to be deducted from the value of the product.

For example, the selling prices of a product of a firm is N50 per unit with the help of two components – A and B. suppose A' is purchased from outside at a cost of N10 per unit and component 'B' actually is produced by this firm itself at a cost of N20 per unit which use raw materials purchased at N16 per unit.

Now the value added per unit will be computed as

	N	N
Selling price of the product		
Less cost		50
i. Component 'A' to be purchased from outside at 10		
ii. Component 'B' to be produced in the firm for		
Which materials are purchased at	16	26
Value added		<u>24</u>

Naturally, the value added will be the amount of difference between the price of output and the price so paid for material stores etc. from outside and the price of materials to be purchased for the production process.

Differences between Income and Profit

The term “profit” and “income” are often used as synonyms, but you need to distinguish the differences between these two numbers.

Income is the top-line revenue. This number is calculated tallying every single amount that came into the company during a given period. Income is commonly referred to as “Gross Revenue”

On the other hand, profit refers to the total earnings of an organization. It is a return that is calculated as a difference between revenue and costs, including both manufacturing and overhead expenses. The costs are generally explicit costs, which refer to cash payments made by the organization to outsiders for its goods and services. In other words, explicit costs can be defined as payments incurred by an organization in return for labor, material, plant, advertisements, and machinery.

The accounting profit is calculated as:

Accounting Profit= TR-(W + R + I + M) = ~~TR~~ Explicit Costs

TR = Total revenue

W = Wages and salaries

R= Rent

I= Interest

M= Cost of material

The accounting profit is used for determining the taxable income of an organization and assessing its financial stability. Let us take an example of accounting profit. Suppose that the total revenue earned by an organization is N. 2, 50,000. Its explicit costs are equal to N. 10, 000. The accounting profit equals = N. 2, 50,000 – N. 10,000 = N. 2, 40,000. It is to be noted that the accounting profit is also called gross profit. When depreciation and government taxes are deducted from the gross profit, we get the net profit.

Profit is the amount that is left over after the expenses have been paid. To calculate this number, figure out your gross revenue and subtract the cost of goods sold as well as the expenses. Profit is also often called “Net Revenue

Types of profit

There are three major types of profit: gross profit, operating profit and net profit. Each type gives the analysts more information about a company's performance, especially when compared against other time periods, industry and competitors. All three can be found on the income statement.

- a. **Gross profit:** The first level of profitability is the gross profit. Gross profit is sales (revenue) minus the cost of goods sold. Revenue is the first line item on the income statement and the cost of goods sold is generally listed just below it. For example if company A has ₦100, 000 in sales and cost of goods sold is ₦ 60, 000, it means the gross profit is ₦ 40, 000. Divide gross by sales for the gross profit margin which is 40%.

- b. **Operating profit:** The second level of profitability is the operating profit (profit before interest and tax). Operating profit is calculated by deducting operating expenses from gross profit. Gross profit looks at profitability after operating expenses. These are things like selling expenses, and administrative cost. If company A has ₦ 20,000 in operating expenses, the operating profit is ₦ 40,000 minus ₦ 20,000, equally ₦ 20,000. Divide operating profit by sales for the operating profit margin, which is 20%.

- c. **Net profit:** The third level of profitability is the net profit (profit after interest and tax). Net profit is the income left over after all expenses, including taxes and finance expense (interest) have been paid. If interest is ₦ 5,000 and taxes are another ₦ 5,000, net profit is calculated by deducting both of these from operating profit. In

the example of Company A, the answer is ₦ 20,000 minus ₦ 10,000, which equals ₦ 10,000. Divide net profit sales for the net profit margin, which is 10%

Provisions, Reserves and Liabilities

A **provision** is an amount written off or retained in order to provide for renewals of, or diminution in value of assets, or retained to provide for any known liability of which the amount cannot be determined with 'substantial' accuracy. This therefore covers such items as **provisions for depreciation** and **provisions for doubtful debts**.

Revenue reserves

A **revenue reserve** is an account to which an amount has been voluntarily transferred from the profit and loss appropriation account, thus reducing the amount of profits left available for cash dividend purposes and crediting the appropriate **reserve account**. The reserve may be for some particular purpose, such as a **foreign exchange reserve account** created just in case the firm should ever meet a situation where it would suffer loss because of foreign currency exchange rate movements; or it could be a **general reserve account** that could be used for any purpose. Such transfers are an indication to the shareholders that it would be unwise at the time of the transfer to pay out all the available profits as dividends. The resources represented by this part of the profits should be retained, at least for the time being.

General reserve

A general reserve is one that can be used for any purpose. For example, it may be needed because of the effect of inflation: assume a company needs ₦4,000 working capital in 20X3 and that the volume of trade remains the same for the next three years but that during that time, the general level of prices increases by 25 per cent: the working capital requirement will now be ₦5,000. If all the profits are distributed, the company will still have only ₦4,000 working capital which cannot possibly finance the same volume of trade as it did in 20X3. Transferring annual amounts of profits to a general reserve instead of paying them out as dividends is one way to help overcome this problem.

Extra-Ordinary Items: Are material items possessing a high degree of abnormality which arise from events or transactions that fall outside the ordinary activities of the reporting entity and which are not expected to recur. They do not include exceptional items nor do they include prior period items merely because they relate to a prior period. (FRS3).

These are items that arise when firm or companies make gains or losses from unusual and infrequent events and such transactions are recorded separately from the normal activities/transactions in the income statement distinguishing purposes. Example of such unusual and frequent event is the loss of goods of a firm in Nigeria as a result of earth quake (where earthquake is not common) (APB, No. 30).

Extraordinary items are those that occur outside the ordinary activities of an enterprise and are not expected to recur frequently (SAS 6)

Extraordinary items are revenue and expense items of an enterprise that are distinguished because they are both unusual in nature and infrequent in occurrence. An item that is identified as extraordinary is usually abnormal and unrelated to the ordinary activities of the enterprise. For proper distinction to be made, due consideration is usually given to the lines of business in which the enterprise is engaged, the environment in which the enterprise operates, the industry norm, and the government regulations affecting the industry. The past occurrence or event in an enterprise usually provides sufficient evidence for the classification of an item as either extraordinary or ordinary. Certain gains or losses are reported as extraordinary items because they are unusual in nature, occur infrequently and are unrelated to the ordinary activities of an enterprise.

Note that an unusual item to company 'A' might not be unusual to company 'B' because of environment differences.

Examples of such items include:-

- (i) Profit or loss arising from trade investments;
- (ii) Profit or loss arising on the sale of a segment, line of business or subsidiary;
- (iii) Profit or loss arising on the expropriation of an asset or nationalization of assets of an enterprise;
- (iv). Redundancy costs relating to discontinued product or business line. Costs relating to the closure of branches are not normally regarded as extraordinary items.

Extraordinary items are usually reported net of their associated taxes. The taxes on these items are rarely reported as part of the tax charge for the year.

Exceptional Items: Are material items derive from events or transactions that fall within the ordinary activities of the reporting entity and which individually or, if of a similar type, in aggregate need to be disclosed by virtue of their size or incidence if the financial statements are to give a true and fair view.

These are costs or income affecting a company's exceptional magnitude. In other words, they are items of income that are not included in gross income by statutory law, Inland Revenue service regulation, or court decision. Exceptional items: are those that though normal to an activity of an enterprise are abnormal as a result of their infrequency of occurrence and size e.g. abnormally high bad debts.

Prior Year Adjustments: Prior year adjustments occur as a result of either the correction of fundamental errors that were previously made in the accounts or of the wrong application of accounting principles or a change in an accounting policy. Usually, when errors are detected before accounts are finalized or published, such errors are corrected. In some cases, errors may escape detection in one period only to be discovered in another. The correction of such errors may require adjustments of past, present and future account balances.

Adjustments to accounting estimates are usually not classified as prior year adjustments and therefore are a part of income or loss in the current and subsequent years. Examples of this category of adjustments are: changes in the estimate of the useful lives of fixed assets, or net realizable value of stock believed to be obsolete. Any change in an accounting estimate is not usually treated as an extraordinary item although it could be treated as an exceptional item.

Changes in accounting estimate occur frequently in practice because, on the date the financial statements may be finalized, important events or conditions may be in dispute or uncertain. Where the outcomes of such events or conditions are measurable and fairly predictable, provision is usually made for such events or conditions.

When an accounting principle is adopted that is different from the one previously used, a change in accounting principle has occurred. For example, a change from reducing-balance-method of depreciation to a straight-line method is a change in accounting principle.

The change in accounting principle is generally treated by including in the Profit and Loss Account of the current year, the portion that relates to the year, while the cumulative balance is taken to Retained Earnings/Reserves.

Misapplication of accounting principle may occur due to the careless mistake of an employee. For example, where a fixed asset is mistakenly treated as an expense for the period, a misapplication of accounting principle has occurred. Such an error is fundamental and therefore, affects the balances of accounts in the past and current year. A fundamental error is usually corrected by making appropriate adjustments to the opening retained profits figure and other affected account balances.

USE OF COMPUTER APPLICATION PACKAGES IN ACCOUNTING

Accounting packages (Accounting packages e. g. Dac-Easy, Peach Tree and Sage) are probably the most widely used sort of “off-the-shelf” package in business. A package may consist of a suite of program modules, and the computer user can use a single module for a specific application or “sub-system” or a number of modules in a more integrated system. There might be separate modules for the general ledger, and subsidiary ledgers such as:

- (a) Payroll
- (b) Inventory
- (c) Non-current assets
- (d) Treasury
- (e) Financial reporting and analysis.

Each module may be integrated with the others, so that data entered in one module will be accessible across all modules as required

Sales Ledger Sub-System The main features of a sales ledger are:

- (a) Files used.

The main file in a sales ledger sub-system is the sales ledger. The fields in each record will include:

- (i) Customer account number
- (ii) Customer name
- (iii) Address
- (iv) Credit limit
- (v) Sales analysis
- (vi) Account type
- (vii) Transaction date

(viii) Transaction description

(ix) Transaction code

(x) Debits

(xi) Credits

(xii) Balance

Output

(i) Day book listing

(ii) Invoices

(iii) End of month statements for customers

(iv) Age analysis of trade receivables

(v) Sales analysis reports

(vi) Trade receivables reminder letters

(vii) Customer lists

(viii) Responses to enquiries

(ix) Output on to disk file for other modules

(c) File updating (amendments):

- Amendments to customer details e.g. change of address, change of credit limit.
- Insertion of new customers
- Deletion of old “non-active” customers

(d) Transaction data relating to

- Sales transaction (for invoicing)
- Customer payments
- Credit notes
- Adjustments

Purchases Ledger The simplest purchases system is one where the computer is used to maintain the purchases ledger and produce a purchase analysis. The main features would be:

(a) **Inputs**, which include data about

- ❖ purchases invoices
- ❖ credit notes
- ❖ cash payments
- ❖ adjustments

(b) **Outputs**, which include:

- lists of transactions posted – produced every time the system is run;
- An analysis of expenditure for nominal ledger purposes. This may be produced every time the system is run or at the end of each month;
- lists of trade payables balances together with a reconciliation between the total balance brought forward, the transactions for the month and total balance carried forward;
- Copies of payables accounts.

(c) **Files used** – The fields in each record will include:

- (i) Account number
- (ii) Name
- (iii) Address
- (iv) Credit details
- (v) Bank details
- (vi) Cash discount details
- (vii) Details of transactions
- (viii) Balance outstanding.

Inventory Sub-System Inventory sub-system generates transactions in respect of purchase, holding and issuing of inventories. The main features of a stock control system are:

(a) Inputs, which would include data about:

- (i) goods received note
- (ii) issues to production
- (iii) production to finished goods store
- (iv) dispatch notes
- (v) adjustments.
- (b) Outputs, which would include:
- (i) details of stock movements
- (ii) stock balances produced as required

Purchases Ledger The simplest purchases system is one where the computer is used to maintain the purchases ledger and produce a purchase analysis. The main features would be:

(a) Inputs, which include data about

- * purchases invoices
- * credit notes
- * cash payments
- * adjustments

(b) Outputs, which include:

- ✓ lists of transactions posted – produced every time the system is run;
- ✓ an analysis of expenditure for nominal ledger purposes. This may be produced every time the system is run or at the end of each month;
- ✓ lists of trade payables balances together with a reconciliation between the total balance brought forward, the transactions for the month and total balance carried forward;
- ✓ copies of payables accounts.

(c) **Files used** – The fields in each record will include:

- (i) account number
- (ii) name
- (iii) address
- (iv) credit details
- (v) bank details
- (vi) cash discount details
- (vii) details of transactions
- (viii) balance outstanding.

Inventory Sub-System Inventory sub-system generates transactions in respect of purchase, holding and issuing of inventories. The main features of a stock control system are:

(a) Inputs, which would include data about:

- (i) goods received note
- (ii) issues to production
- (iii) production to finished goods store
- (iv) dispatch notes
- (v) adjustments.

(b) Outputs, which would include:

- (i) details of stock movements

- (ii) stock balances produced as required
- (iii) stock valuation lists
- (iv) list of slow moving goods.

(c) Files used

The main file is the stock ledger. There would be a record on file for each stock item, and record fields might include:

- (i) stock number
- (ii) description
- (iii) standard cost
- (iv) quantity in stock

Payroll System: A simple payroll system would be mainly concerned with the production of a weekly wages payroll. Salary systems are similar to those encountered for wages, the principal difference being that it is usual for the monthly salary to be calculated from details held on the master file and, therefore with the exception of overtime, bonuses, etc there is no need for any transaction input. The main features of a simple wages system are:

(a) **Inputs**, which include:

- (i) Clock cards or time sheets. Details of overtime worked will normally be shown on these documents.
- (ii) Amount of bonus or appropriate details if the bonus is calculated by the computer.

(b) **Outputs**, which include:

- (i) Pay slips
- (ii) Payroll
- (iii) Payroll analysis, including analysis of deductions and details for costing purposes
- (iv) Cash analysis, cheques, credit transfer forms, as appropriate
- (v) In some cases, a magnetic tape, cassette or floppy disk with payment details for dispatch to the bank.
- (c) Files used.

The master file will hold two types of data in respect of each employee:

- (i) Standing data, for example, personal details, rates of pay, details of deductions

- (ii) Transaction data, for example, gross pay to date, tax to date, pension contributions, etc.

Non-Current Assets Sub-System

The main features are:

- (a) Inputs, which include data about
 - (i) Capitalization policy
 - (ii) Depreciation policy
 - (iii) Purchase invoices
 - (iv) Cash payments
 - (v) Adjustments

Output:

- (i) Non-current assets register which includes the cost of assets, accumulated depreciation, current year depreciation, asset type, depreciation rate and net book value of asset.
- (ii) Non-current asset ledger – records cost of acquisition, additional cost of improvement, disposal value of asset and calculated depreciation based on asset classification.

Files used – The fields in each record will include:

- (i) Asset class
- (ii) Asset name/description
- (iii) Asset identification code
- (iv) Cost
- (v) Date of acquisition
- (vi) Estimated useful life
- (vii) Depreciation rate
- (viii) Disposal value and date
- (ix) Current depreciation
- (x) Accumulated depreciation
- (xi) Book value of asset

Trade-Receivables Control The trade receivables system deals with transactions that involve sales invoices raised credit notes and debit notes issued to customers and credit notes issued to

trade payable control accounts for offset against trade payables and trade receivables payments. The main features are:

Trade-Receivables Control The trade receivables system deals with transactions that involve sales invoices raised credit notes and debit notes issued to customers and credit notes issued to trade payable control accounts for offset against trade payables and trade receivables payments. The main features are:

(a) File used

The main file used is sales ledger subsystem.

(b) Inputs, which include data about:

- total credit sales for the period
- total cash received from trade receivables during the period.
- total credit notes issued during the period
- Adjustments.

(c) Outputs, which include:

- End of the period balance
- Comparative analysis of opening and closing balances
- Set-offs against purchases control ledgers
- List of credit notes not yet used by the customers

Bank Reconciliation The main features would be

(a) Inputs

- pay-in slips
- cheque stub/counterfoil
- bank debit notes
- bank credit notes

(b) Outputs

- Bank Balance as at the date of reconciliation
- List of stale cheques
- List of Uncredited lodgments
- List of unrepresented cheques
- List of unmatched items in the bank statement but not in the cash book.

Advantages and Disadvantages of Application Packages

Advantages

- (a) They make implementation of an application to be quicker and cheaper.
- (b) They provide standard approach to common applications
- (c) They are efficient in terms of speed, accuracy and storage requirements
- (d) They save programming efforts
- (e) There is substantial reduction in systems efforts.

Disadvantages

- (a) Some packages are not brought up-to-date.
- (b) The packages may not be 100% suitable for a particular use, as they may not be fully tailored towards the use
- (c) One may not get experts who will come to one's immediate help in case of problems.
- (d) Inefficiency may be experienced due to inclusion of features that are not particularly relevant in the packages.
- (e) The vendor company that wrote the package may cease to exist. Users will then face the challenge of getting support for and maintaining the software.

Any five of the following: *[Some of the Application Packages]*

- (a) Word-processing e.g. Word Perfect, Word Star, Multimate and Microsoft Word 2000.
- (b) Spreadsheet e.g. Microsoft Excel, Lotus 1-2-3, Supercalc
- (c) Desktop Publishing e.g. Page Maker and Corel Draw
- (d) Database management system e.g. Foxpro, Dbase and oracle.
- (e) Utilities e.g. Pc tools, Norton and Antivirus
- (f) Banking Application e.g. Globus, Finacle, Flexcube and Bank master.
- (g) Accounting packages e. g. Dac-Easy, Peach Tree and Sage.
- (8) - details of stock movements
- inventory balances produced as required
- list of inventories below minimum order quantity - inventory valuation list.
- (9) - standing data e.g. personal details, rates of pay details of deductions
- transaction data e.g. gross pay to date, tax to date, pension contributions.

- (10) - Insertion of new customers
 - Deletion of old non-active customers
 - amendments to customers' details e.g. change of address, change of credit limit
- (11) - Gateway

Nigerian Accounting Standard Board (NASB)

The Nigerian Accounting Standard Board (NASB) is a body set up as the authoritative statement making body to guide accountant in the preparation of financial statement in order to narrow areas of differences and ^{variations} ~~varities~~ in accounting standards. Their issues are therefore the authoritative statements.

Composition of the Board

The present constitution of the board is as follows:

- Central Bank of Nigeria (CBN)
- Corporate Affairs Commission (CAC)
- Federal Board of Inland Revenue (FBIR)
- Federal Ministry of Finance (FMF)
- Federal Ministry of Commerce and Tourism (FMCT)
- Nigerian Accounting Teachers' Association (NATA)
- Nigerian Association of Chambers of Commerce, Industry, Mines and Agriculture (NACCIMA)
- Nigerian Deposit Insurance Corporation (NDIC)
- Nigerian Stock Exchange (NSE)
- Securities and Exchange Commission (SEC)
- The Chartered Institute of Bankers of Nigeria (CIBN)
- The Institute of Chartered Accountants of Nigeria (ICAN)
- The Office of the Auditor General for the Federation.
- Association of National Accountants of Nigeria (ANAN)
- Chartered Institute of Taxation.

Role of NASB

The body is responsive for the issuance of Statement s of Accounting Standards in Nigeria.

Objectives of the Board

- i. To formulate and publish in public interest accounting standard to be observed in the presentation of financial statements and to promote the general acceptance and adoption of such standards by preparers and users of financial Statements.
- ii. To promote and sponsor legislation when necessary in order to ensure that standards developed and published by the Board received nationwide acceptance, adoption and compliance.
- iii. To review from time to time, the standards developed by the Board in the light of changes in the social, economic and political environments.

Process Leading To the Issue of Statement Of Accounting Standards

- A topic is chosen by the technical committee on suggestion from the business community, member organization of NASB, members of technical committee and other interested parties.
- The secretariat of the NASB prepares a point outline papers (POP) for the consideration of Steering Committee (SC). The POP details the aspect of the topic to be covered and this is submitted to the Technical Committee for approval. When this is approved, it is then forwarded to the SC.
- The Technical Committee is responsible to the SC, which is a body consisting of six members who are experts in various fields of business, economics accounting and financial matters. Guided by the POP, the SC carries out a detailed study of the topic, review existing laws and related standards issued in other countries and submit Discussion Papers (DP) to the Technical Committee for approval. After approval, a preliminary exposure draft is produced for consideration of the SC.
- After an average of six meetings, the SC produces an Exposure Draft (ED) for the consideration of the Technical Committee.

- The Technical Committee considers the ED at the session which last about three days and produces the document. Approval is then given for publication and exposure of the ED provided two-third of the members vote in favour of its exposure and it is exposed to the public for scrutiny for three months.

Exposure Draft (ED)

An exposure draft is a statement of a proposed statement of Accounting Standard which is issued by the NASB for comment(s) by all those interested in the published financial statements either as preparers or users. In other words, users are given an opportunity to make an input into the formulation of Statement of Accounting Standard.

ARGUMENT FOR AND AGAINST STANDARDS

Argument for:

- a. They give accountants and auditors some measures of protection from those who may try to pressurize them into using improper methods and assumes their independence.
- b. They ensure that all stakeholders make contributions into the standard formulation and as such enriches the quality;
- c. They usually conform with internal accounting standard;
- d. They usually conform with all existing law and regulation requirements, for example CAMA 1990, BOFID 1991, Insurance Act 2003.
- e. The standard are reviewed periodically to conform with latest economic and social developments;
- f. The enactment of the NASB Act, 2003, gives it power to enforce compliance with standard.

Arguments Against:

- i. They inhibit initiative as decision has already been made;
- ii. They rarely take account of peculiarities of individual business; and
- iii. Standard may be watered-down due to exposure to interested parties or intended users of the standard.

INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRS)

With the globalization trend in commercial activities and business ownership and operations, there arises the need for uniform and globally accepted standards for the treatment of financial transactions. Such standards should be widely acceptable and thereby brings uniformity and consequently, give room for comparison of financial information regardless where such a financial statements are prepared.

OTHER REGULATORY FRAMEWORK

- Companies and Allied Matters Act 2003:- this Act was promulgated to regulate companies' matters from formation to winding-up.
- NAICOM and Insurance Act 2003:- The regulatory body the insurance industry is the National Insurance Commission (NAICOM), while the regulatory statute is the Insurance Act, 2003. It regulates the insurance industry by providing the theoretical framework for the industry's operation.
- Security and Exchange Commission and Nigerian Stock Exchange Regulations:- the securities and Exchange Commission (SEC) exists as the apex capital market institution providing the right regulatory framework for orderly development of the market, ensuring integrity of securities business and protection of all participants, particularly the investors. The Nigerian Stock Exchange provides for the facilities of purchase and sale of funds, stocks and shares of any kind and the investment of money generally.
- Banks and Other Financial Institution Act, 1991:- The statutory backing for the establishment and regulations of Banks and other Non-Bank Financial Institutions (Discount houses, Finance houses, etc except Insurance Companies) in Nigeria is the BOFIA, 1991.

COMPARISON OF SAS AND IAS

Statement of Accounting Standards (SAS)		International Accounting Standards (IAS)	
1	Disclosure of accounting Policies	1	Presentation of financial statements
2	Information to be disclosed in Financial Statement	1	Presentation of financial statements
3	Property, Plant and Equipment	16	Property, Plants and Equipment.

5	Construction Contracts	11	Construction Contracts
6	Extra-ordinary, exceptional and prior Year Adjustment	8	Accounting Policies Changes in Accounting Estimates Errors
7	Foreign currency conversion	21	Effect of Changes in foreign Exchange Rates
8	Staff retirement Benefits	19	Employees Benefits
10 & 1 & 2) 5	Bank and Non-Bank Financial Institution(part	30	Disclosures in the Financial Statements of Banks and Similar Financial Institutions
11	Leases	17	Accounting for Leases
13	Investments	25	Investments
19	Taxes	12	Income taxes
18	Cash flow Statement	17	Cash flow statements
21	Earnings Per Share	33	Earnings Per Share
28	Investments In Associates	28	Investments In Associates
29	Interest in Joint Ventures	31	Interest in Joint Ventures
30	Interim Financial Reporting	34	Interim Financial Reporting